Chapter 11: Monetary Policy Implementation and the Ample-Reserves Regime

Principles of Macroeconomics Curriculum

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Abstract

This chapter provides a rigorous, pedagogical treatment of Chapter 11: Monetary Policy Implementation and the Ample-Reserves Regime, benchmarked to standard principles curriculum.

Contents

1 The Modern Federal Reserve Operating Framework

Under the ample-reserves regime, the Fed controls interest rates through administered rates:

- **Interest on Reserve Balances (IORB):** Primary administered reservation floor rate.
- **Overnight Reverse Repurchase (ON RRP):** Administered sub-floor accessible to non-bank financial intermediaries.
- **Discount Window Rate:** Ceilings for collateralized central bank lending.

2 The Taylor Rule

$$i_t = r^* + \pi_t + 0.5(\pi_t - \pi^*) + 0.5\left(\frac{Y_t - Y^*}{Y^*}\right) \tag{1}$$